

**Sixty-ninth Legislative Assembly of North Dakota
In Regular Session Commencing Tuesday, January 7, 2025**

HOUSE BILL NO. 1018
(Appropriations Committee)

AN ACT to provide an appropriation for defraying the expenses of the state historical society; to amend and reenact section 55-01-02.1 of the North Dakota Century Code, relating to jurisdiction of the heritage center; to authorize a Bank of North Dakota line of credit; and to declare an emergency.

BE IT ENACTED BY THE LEGISLATIVE ASSEMBLY OF NORTH DAKOTA:

SECTION 1. APPROPRIATION. The funds provided in this section, or so much of the funds as may be necessary, are appropriated out of any moneys in the general fund in the state treasury, not otherwise appropriated, and from other funds derived from special funds and federal funds, to the state historical society for the purpose of defraying the expenses of the state historical society, for the biennium beginning July 1, 2025, and ending June 30, 2027, as follows:

	<u>Base Level</u>	<u>Adjustments or Enhancements</u>	<u>Appropriation</u>
Salaries and wages	\$16,832,853	\$3,313,454	\$20,146,307
New and vacant FTE pool	0	934,276	934,276
Operating expenses	3,443,236	2,084,415	5,527,651
Capital assets	1,330,184	82,267,649	83,597,833
Grants	928,340	1,092,500	2,020,840
Cultural heritage grants	500,000	(500,000)	0
America 250 th celebration	0	2,000,000	2,000,000
Total all funds	\$23,034,613	\$91,192,294	\$114,226,907
Less other funds	2,434,264	88,381,416	90,815,680
Total general fund	\$20,600,349	\$2,810,878	\$23,411,227
Full-time equivalent positions	83.50	2.00	85.50

SECTION 2. ONE-TIME FUNDING - EFFECT ON BASE BUDGET - REPORT TO SEVENTIETH LEGISLATIVE ASSEMBLY. The following amounts reflect the one-time funding items included in the appropriation in section 1 of this Act which are not included in the entity's base budget for the 2027-29 biennium and which the entity shall report to the appropriations committees of the seventieth legislative assembly regarding the use of this funding:

<u>One-Time Funding Description</u>	<u>General Fund</u>	<u>Other Funds</u>	<u>Total</u>
Temporary staff salaries and operating	\$10,225	\$52,011	\$62,236
Repatriation compliance costs	100,000	0	100,000
Pembina state museum exhibits	0	638,000	638,000
Underrepresented community program	0	75,000	75,000
Military gallery expansion project	0	77,944,524	77,944,524
Inspiration gallery updates	0	700,000	700,000
Medora area planning	0	2,000,000	2,000,000
State archive storage updates	207,500	0	207,500
Historical structures and buildings improvements	0	3,000,000	3,000,000
Paul Bruhn historical revitalization grants	0	750,000	750,000
Historic museum repairs grant	0	200,000	200,000
Historic armory restoration grant	0	100,000	100,000
America 250 th celebration	0	2,000,000	2,000,000
Total	\$317,725	\$87,459,535	\$87,777,260

SECTION 3. NEW AND VACANT FTE POOL - LIMITATION - TRANSFER REQUEST. The state historical society may not spend funds appropriated in the new and vacant FTE pool line item in section 1 of this Act, but may request the office of management and budget to transfer funds from the new and vacant FTE pool line item to the salaries and wages line item in accordance with the guidelines and reporting provisions included in House Bill No. 1015, as approved by the sixty-ninth legislative assembly.

SECTION 4. APPROPRIATION - REVOLVING FUND. All fees collected by the state historical society and deposited in the revolving fund established pursuant to section 55-03-04 are appropriated to the state historical society for the purposes provided in chapter 55-03, for the biennium beginning July 1, 2025, and ending June 30, 2027.

SECTION 5. APPROPRIATION - GIFTS, GRANTS, AND BEQUESTS. All gifts, grants, devises, bequests, donations, and assignments received by the state historical society and deposited with the state treasurer pursuant to section 55-01-04 are appropriated to the state historical society for the purposes provided in section 55-01-04, for the biennium beginning July 1, 2025, and ending June 30, 2027.

SECTION 6. OTHER FUNDS - STRATEGIC INVESTMENT AND IMPROVEMENTS FUND - MATCHING FUNDS REQUIREMENT.

1. The other funds line item in section 1 of this Act includes the sum of \$27,488,000 from the strategic investment and improvements fund, of which \$638,000 is for Pembina state museum exhibit designs and objects, \$15,000,000 is for the military gallery expansion project, \$4,200,000 is for the repayment of a Bank of North Dakota line of credit for the military gallery expansion project from the 2023-25 biennium, \$350,000 is for an update to the inspiration gallery at the North Dakota heritage center, \$2,000,000 is for Medora area planning, \$3,000,000 is for improvements to historical structures and buildings, \$200,000 is for a historic museum repairs grant, \$100,000 is for a historic armory restoration grant, and \$2,000,000 is for America 250th celebration activities, of which \$1,000,000 is for state-related celebration activities and \$1,000,000 is for Medora-related celebration activities.
2. The state historical society may spend funds appropriated for the historic museum repairs grant and historic armory restoration grant programs only to the extent the organizations have secured one dollar of matching funds from nonstate sources for every two dollars provided by the state historical society. The state historical society may accept matching funds raised during or prior to the 2025-27 biennium for programs under this subsection.
3. The state historical society may access the \$15,000,000 appropriated from the strategic investment and improvements fund for the military gallery expansion project in section 1 of this Act only upon certification from the director of the state historical society to the office of management and budget that at least thirty-three percent, or \$12,785,693, of the \$38,744,524 appropriated from donations for the military gallery expansion project in section 1 of this Act, has been pledged from nonstate sources for the project.

SECTION 7. OTHER FUNDS - BANK OF NORTH DAKOTA LINE OF CREDIT - MILITARY GALLERY EXPANSION PROJECT. The other funds line item in section 1 of this Act includes the sum of \$20,000,000, which the state historical society may borrow through a line of credit from the Bank of North Dakota during the biennium beginning July 1, 2025, and ending June 30, 2027. The interest rate on the line of credit may not exceed the prevailing interest rate charged to North Dakota governmental entities. If the state historical society accesses the line of credit, the state historical society shall request a deficiency appropriation from the seventieth legislative assembly to repay the line of credit.

SECTION 8. OTHER FUNDS - DONATIONS. The other funds line item in section 1 of this Act includes the sum of \$39,094,524 from other funds derived from donations, of which \$38,744,524 is for the military gallery expansion project and \$350,000 is for an update to the inspiration gallery at the North Dakota heritage center.

SECTION 9. OTHER FUNDS - DEPARTMENT OF TRANSPORTATION GRANT. The other funds line item in section 1 of this Act includes \$100,000 of grant funding from the department of transportation for the purpose of defraying the expenses of the Lewis and Clark interpretive center.

SECTION 10. AMENDMENT. Section 55-01-02.1 of the North Dakota Century Code is amended and reenacted as follows:

55-01-02.1. Society to have jurisdiction over heritage center.

The society has jurisdiction over the administration and operations of the North Dakota heritage center building. The director of the office of management and budget is responsible for maintenance of the heritage center building. The society, in consultation with the adjutant general, is responsible for all public displays, signage, and museum content for the military gallery within the North Dakota heritage center building. The society and the adjutant general shall enter a memorandum of agreement to establish policies on public displays, signage, and museum content for the military gallery. The regimental room of the military gallery must be named the North Dakota national guard regimental room. The society shall maintain the collections displayed and stored at the heritage center and shall provide, or arrange, for the security of those collections. The society shall establish a policy that authorizes the consumption of alcoholic beverages, including distilled spirits as defined in section 5-01-01, at the heritage center during an event that is open only to invited guests and if the alcoholic beverages are dispensed by a qualified alcoholic beverage licensee.

SECTION 11. EMERGENCY. The following are declared to be an emergency measure:

1. \$4,200,000 appropriated from the strategic investment and improvements fund in section 1 of this Act to repay a Bank of North Dakota line of credit for the military gallery expansion project; and
2. \$15,000,000 appropriated from the strategic investment and improvements fund in section 1 of this Act for the military gallery expansion project.

Speaker of the House

President of the Senate

Chief Clerk of the House

Secretary of the Senate

This certifies that the within bill originated in the House of Representatives of the Sixty-ninth Legislative Assembly of North Dakota and is known on the records of that body as House Bill No. 1018 and that two-thirds of the members-elect of the House of Representatives voted in favor of said law.

Vote: Yeas 64 Nays 27 Absent 3

Speaker of the House

Chief Clerk of the House

This certifies that two-thirds of the members-elect of the Senate voted in favor of said law.

Vote: Yeas 43 Nays 4 Absent 0

President of the Senate

Secretary of the Senate

Received by the Governor at _____ M. on _____, 2025.

Approved at _____ M. on _____, 2025.

Governor

Filed in this office this _____ day of _____, 2025,
at _____ o'clock _____ M.

Secretary of State